GOOGLE / AI MODE

Monetize the next step. Not the answer.

Keep answers free. Sell useful commercial actions.
Scale only when total Search profit and user trust improve.

ANSWER	DECIDE	ACT
Earn trust	**Show relevant offers**	**Capture measurable value**

Strategy recommendation | Public sources through 5 October 2026

AI Search is growing; the click model is under pressure

This is a monetization transition, not evidence that Search revenue is already collapsing.

GOOGLE-REPORTED / Q2 2026

+17%

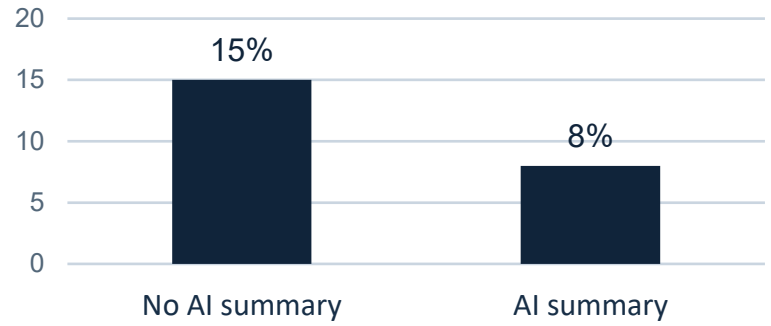
Year-over-year growth in Search & Other revenue.

GOOGLE-REPORTED / Q2 2026

>1 billion

AI Mode monthly active users. Scale makes economics urgent.

Traditional-result click rate



Pew: 900 U.S. adults, March 2025. AI Overviews, not AI Mode; organic clicks, not ad CTR. Not a causal estimate.

Implication: protect the economics of a whole user journey, not the number of links clicked.

Sources: [1] Google Q2 2026 remarks; [2] Pew, July 2025.

Which searches move matters more than how many

Illustrative cohort: 1,000 journeys and $100 starting revenue. These are not estimates of Google's mix.

INTENT	JOURNEY MIX	BASELINE REVENUE	MIGRATION TO AI	REVENUE EXPOSED
Information / explanation	60%	$5	60%	$3.00
Product comparison	25%	$40	50%	$20.00
Purchase / local service	10%	$50	30%	$15.00
Navigation / known site	5%	$5	10%	$0.50
TOTAL	**100%**	**$100**	**52% of journeys**	**$38.50**

Prioritize commercial comparisons. Keep informational answers free; protect fast navigation.

52% of journeys shift in this scenario, but only 38.5% of revenue is exposed - not necessarily lost.

Scenario analysis only. Query mix, revenue and migration rates require internal data.

Win the shopping journey, not just the search query

Compete for the starting point of shopping - and for the advertiser's next dollar.

COMPETITOR / ASSET	EVIDENCED CAPABILITY	WHAT GOOGLE MUST DO
ChatGPT	Product comparisons and merchant feeds; expanding ads and measurement tools.	Win discovery with useful comparisons; prove incremental advertiser returns.
Amazon / Alexa for Shopping	Shopping history, product comparisons and agentic shopping / reorder flows.	Offer credible cross-retailer choice; make price, stock and fulfillment reliable.
Google / AI Mode	Existing ad demand; merchant feeds; Direct Offers and UCP checkout.	Use reach and auction depth, but earn repeat use rather than rely on defaults.

Track where journeys begin using consented research panels, plus cross-channel merchant spend.

Too slow: lose discovery. Too aggressive: lose trust. Win on merchant value, not ad load.

Sources: [3], [4], [6], [7], [8]. Capabilities are company announcements; implications are analysis.

Contextual ads should lead; outcome fees should follow

Choose the model that preserves reach, uses Google's advertiser base and can prove value.

MODEL	REVENUE LOGIC	MAIN ADVANTAGE	MAIN TRADE-OFF	VERDICT
Contextual ads	Pay per click; conversion-led bids	Fastest migration; existing demand	Ad load and answer-trust risk	LEAD NOW
Verified outcomes	Pay per accepted lead or completed order	Closer to merchant business value	Attribution, fraud, returns and integration	PILOT NEXT
Premium tier	Users pay for costly, advanced tasks	Funds heavy use; diversifies revenue	A broad paywall shrinks free reach	COMPLEMENT
Paid core answers	Sponsors buy influence over recommendations	New premium placement inventory	Conflicts with neutral advice; trust erosion	REJECT

Do not replace the ad engine with a universal subscription or a toll on every transaction.

Qualitative strategy assessment. Capability context: [3], [4].

Pilot robot vacuums, with clear entry gates

A narrow test of comparison-led commerce, not a claim that this is the largest category.

CATEGORY	VALUE OF AI ADVICE	MEASUREMENT	COMPLEXITY	PRIORITY
Robot vacuums	Compare floor type, pet hair, maintenance and obstacles	Order + return events; SKU-level feeds	No installation; fit still matters	PILOT FIRST
Major appliances	Rich feature and price comparisons	Order plus delivery / installation outcomes	More fulfillment and service risk	SECOND
Local home services	High-need matching and availability questions	Lead quality and job completion harder	Scheduling and quality variance	LATER

Supply gate: 5+ independent merchants; >=95% price / stock accuracy.

Economics gate: at $10/order, 9+ valid orders per 1,000 journeys.

Do not commit until merchant margins and incremental sales support the fee. See slides 8 and 10.

Category screen and thresholds are proposed hypotheses, not measured market data.

Can users tell where advice ends and ads begin?

Recommend a separate sponsored module - but establish that it preserves informed trust.

Find a robot vacuum under $350 for pet hair on hard floors

AI answer

Compare hair pickup, brush upkeep and obstacle avoidance.
Check independent tests and return terms before buying.

Sources: independent testing | manufacturer specifications

SPONSORED

Retailer A | Model Q | $300

Pet-hair brush | Check stock + delivery + returns >

RANDOMIZE THE PRESENTATION

A Answer without an ad

B Separate Sponsored card

C Labeled ad within the list

Ask after the task

Which content was paid for?
Did payment change the advice?

Gate: >=90% sponsor recognition; trust no worse than -3 pp vs no-ad.

Fictional product mock-up; proposed experiment and thresholds. Existing Google ad tests: [3].

A better conversion rate is not enough to justify a higher fee

Illustrative order: $300 value x 30% gross margin = $90 gross profit before acquisition spend.

Fee ceiling = gross profit/order x incremental order share / target gross-profit-to-ad-spend ratio

INCREMENTAL SHARE	MAX FEE AT 1.2x RETURN	GOOGLE FEE FLOOR*	CAN A $10 FEE WORK?
5%	$3.75	>$8.50	NO
15%	$11.25	>$8.50	YES, LITTLE HEADROOM
25%	$18.75	>$8.50	YES, MORE HEADROOM

*At 10 valid orders per 1,000 journeys under slide 10 costs. Validate actual margins and fee acceptance.

Run real-price pilots and sales-lift holdouts. Budget shifted from classic Search is not net-new spend.

Scenario assumptions, not observed merchant margins, prices or causal lift.

Keep familiar buying; earn outcome fees through proof

Modernize the billing event without confusing conversion optimization with pay-per-action billing.

NOW / LOW FRICTION

CPC auction

Reuse campaigns, feeds and budgets.
Optimize bids to conversion value.
Report AI Mode separately.

NEXT / OPT-IN PILOT

Verified action fee

Charge for an accepted lead or completed, non-cancelled order.
Use category-specific fee caps.

BEFORE SCALE / PROOF

Incremental ROI

Use holdouts, not last-click alone.
Deduplicate and reverse refunds.
Show merchants a fee audit trail.

One acquired outcome, one bill: CPC OR outcome fee in each pilot arm; no stacked commission.

Proposed commercial design. Existing campaign and commerce foundation: [3], [4].

Outcome fees must clear a real break-even

Illustrative USD per 1,000 comparable journeys; assumptions, not Google actuals or forecasts.

INPUT / OUTPUT	CLASSIC CPC	AI MODE CPC	AI MODE OUTCOME
Billable events	40 clicks	25 clicks	10 verified actions
Price per event	$2.00	$3.00	$10.00
Revenue	$80	$75	$100
Allocated delivery costs	($20)	($25)	($25)
Contribution / 1,000 journeys	**$60**	**$50**	**$75**

Break-even: ($60 + $25) / $10 = 8.5 actions

Need 9+ actions per 1,000 to beat classic Search.
At 8 actions: $55 contribution; at 10: $75.

Illustrative model; costs include allocated serving, TAC, rights and servicing. Details in notes.

Five failure modes can destroy the economics

Treat trust, competition and ecosystem health as launch constraints, not cleanup work.

RISK	HOW IT FAILS	CONTROL / RESPONSE	OWNER
Answer contamination	Users read paid influence as objective advice	Separate ad module; blind audits; stop on material trust decline	Search quality
Cannibalization + cost	Revenue shifts surfaces; long chats erode profit	All-Search user holdout; route models by task complexity	Search finance
Merchant economics	Fake leads, refunds or attribution steal the ROI	Verified events; fee credits; incrementality and fraud controls	Ads + commerce
Privacy + competition	Sensitive targeting or self-preferencing harms users	No sensitive-session ads; consent; open eligibility and legal review	Privacy + legal
Content degradation	Publishers withdraw or fresh information dries up	Referral and supply monitoring; licensing / value-sharing tests	Ecosystem team

If advertiser value or user trust falls, reduce load or pause expansion before raising prices.

Risk assessment and proposed controls. Evidence context: [2], [3], [4], [5].

Grow profit per user without sacrificing trust

North star: 90-day incremental Search contribution per randomized eligible user, across all Search surfaces.

LENS	WHAT TO WATCH	SCALE GATE / ACTION	CADENCE
Business	Revenue minus TAC, serving, rights and variable servicing	Lower 95% confidence bound on incremental contribution > $0	Weekly; 90-day gate
User value	Task success; D28 return; trust + sponsor recognition	Margins: -1 pp success; -0.5 pp return; -3 pp trust; recognition >=90%	Weekly
Advertiser	Incremental merchant gross profit per ad dollar; rejected actions	Gross profit / spend >= 1.2x; invalid-action rate <= control	Monthly
Experience	p95 end-to-end response latency; complaints and trust audits	Latency <= control + 0.5 seconds; any severe safety breach: pause	Daily
Ecosystem	Qualified source visits; diversity; merchant / publisher opt-outs	Investigate deterioration; pause affected segment if material	Monthly

Diagnostic only: ad CTR, revenue per query and gross merchandise value are not the north star.

All thresholds below are proposed pilot gates, not reported results. pp = percentage points.

Prove the new monetization model before scaling it

Start with robot-vacuum comparisons, conditional on supply, merchant economics and trust.

WEEKS 0-4

Instrument + qualify

Validate category + merchant fees.
Run the three-arm trust study.
Set baselines and power the test.

NEXT 90 DAYS

Randomized pilot

A: current Search experience.
B: AI Mode + separate CPC offers.
C: AI Mode + outcome-fee offers.

AFTER THE READOUT

Expand selectively

Scale only if slide 12 gates pass.
Expand category by category.
Keep a long-term holdout.

EXPERIMENT DISCIPLINE

Stable assignment | Matched merchants | Equal ad-load caps | Cross-surface substitution

Proposed experiment; sizing and thresholds require internal baselines.

Approve a staged shift from clicks to useful actions.

COMMIT	**Free answers + relevant sponsored next steps**
PROVE	**Robot-vacuum pilot: trust, merchant ROI and profit**
PROTECT	**Neutral answers, merchant ROI and the open web**

Decision requested: fund the instrumented pilot, not a broad paywall or blanket transaction tax.

Sources and evidence boundaries

Public sources checked on 5 October 2026. Full URLs also appear in relevant speaker notes.

1 **Q2 2026 earnings call: Remarks from our CEO**

Google / Sundar Pichai | 22 Jul 2026

2 **Google users are less likely to click on links when an AI summary appears**

Pew Research Center | 22 Jul 2025

3 **A new generation of ads for the AI era of Search**

Google Ads | 20 May 2026

4 **New tech and tools for retailers to succeed in an agentic shopping era**

Google / Vidhya Srinivasan | 11 Jan 2026

5 **About ads and AI Overviews**

Google Ads Help | Accessed 5 Oct 2026

6 **Powering Product Discovery in ChatGPT**

OpenAI | 24 Mar 2026

7 **Meet Alexa for Shopping, your personalized, agentic AI assistant on Amazon**

Amazon | 13 May 2026

8 **Building advertising for the way people use AI**

OpenAI | 5 Oct 2026

Evidence discipline: AI Overviews != AI Mode; organic clicks != ad CTR.
Economics, pricing rules, pilot thresholds and wireframes are explicitly illustrative or proposed.

Independent analysis; company-reported capabilities and figures are not independently audited here.